

Mark Minervini Trading Approach

25 December 2025 12:25 PM

Chapter 3: SEPA: Specific Entry point Analysis

The Five Key Elements of SEPA:

- 1. Trend: There is a strong positive Co-relation between a stock that is on an uptrend to go even further.
- 2. Fundamentals: The cause of the uptrends can be traced to its fundamentals. The Earnings, revenue and margins all is a good result which propels the stock. Other aspects which are harder to track should be treated differently.
- 3. Catalyst: Something which is very specific, The is much harder to track or quantise but a particular change or latent aspect which makes the company's value propel. FDA Approvals, Companies reaching certain statuses etc.
- 4. Entry Points: A Company offers many entry points, To be able to track them and find a low-risk entry point is critical.
- 5. Exit Point: To identify a Stop-loss or exit point regardless of how the stock sells is crucial and to have it a hard margin rather than calling it as time passes ensures that we don't dwell into gambling territory. This applies to both cutting losses on bad calls and to superPerformance Stocks.

Stage 1: Trend Qualification

- Stocks must first meet a predefined trend-based criteria.
- Only securities demonstrating sustained, favourable price trends are considered for further analysis.

Stage 2: Quantitative Screening

- Stocks that pass the trend criteria are screened using quantitative filters, including:
 - Earnings growth
 - Revenue growth
 - Margin expansion
 - Relative strength versus the broader market
 - Price volatility
- The majority of stocks are eliminated at this stage, leaving a small subset for deeper analysis.

Stage 3: Leadership Profile Assessment

- Remaining stocks are evaluated for alignment with characteristics commonly found in historical market leaders.
- This review combines fundamental and technical factors.
- Most candidates are removed during this stage, producing a focused shortlist of high-potential ideas.

Stage 4: Detailed Qualitative Review and Ranking

- Shortlisted stocks are reviewed individually and ranked using a relative prioritization framework.
- Evaluation criteria include:
 - Reported earnings and revenue performance
 - Earnings and revenue surprise history
 - Earnings per share growth and acceleration
 - Revenue growth and acceleration
 - Company guidance and outlook
 - Changes in analyst earnings estimates
 - Profit margins
 - Competitive position within the industry and market
 - Potential catalysts such as new products, services, or industry developments
 - Performance relative to peers in the same sector
 - Price action and trading volume behaviour
 - Liquidity and execution risk

We have to know that these are all soft filters where passing let's say 95% of all the checks is very good, though an attentive eye to the 5% to avoid pitfalls helps.

While Minervini, does try to follow Institutional Volume movement the Current Influence is not so linear as slowly the big banks have turned to shorter and shorter sell windows their effective results don't yield better results but a false belief. The economy isn't increasing in pace overall people are not just suddenly working harder or automation is in full effect. We have to rather see the Big institutes and also retail investors(which are a terrible metric to Gadge).

But a hard rule is to put the money early where more money is gonna come. Such things make sense until something like 2008 happens..We have to understand that we are looking at a 2 -D graph and it will only go up and down. We should always understand that institutional buying isn't what we are targeting. Signs are always there when a market is going to crash.

The Six Categories of Stocks:

- 1. Market Leaders
- 2. Top Contenders
- 3. Institutional Favourites
- 4. Turnaround Situations
- 5. Cyclical Stocks
- 6. Past Leaders and Lagards

- 1. Market Leader: A particular industry's Top Player, Top 3 in Earnings or sales and market share. But also for a stock to be considered it also should have a relatively larger space to grow as well, It is only a bonus if it is in a Fast-Growing Sector.

This section demands a very much general Knowledge about the Stock Exchange you're part of, Knowing the different Businesses and the Cultures that are past of that SE matter a lot. We should also know when a category or industry is very dominated by one company and be wary of the growth there.

Note in the retail Business: you want to see same-store sales increasing each quarter. High-single-digit to moderate-double-digit same-store sales growth is high enough to be considered robust but not so high that it's unsustainable (25 to 30 percent or more same-store sales growth is definitely unsustainable over the long term).

The strategy is very Regime Driven and generally we will see it work mostly in Bull markets and Coming out of Bear Markets.

We should target Small to Mid-Cap Companies, they tend to have stronger growth phases and more faster. This applies generally and during bear and turning markets even Large-Cap can show these traits.

We should also try to target Companies within 10 years of their IPOs and avoid older as they move slower.

P/E ratios are quite frankly non-sensical, At some point we can look at them as indicatives of our theory being more right than wrong, A high P/E ratio could show a potential for a Performant stock, Markets generally struggle with marking Growth Trending stocks with.

Valuation methods that work wonderfully during certain market conditions will fail miserably during others.

Minervini had a dislike for stocks with downtrend on a 200 Day moving average. As such their lucrative nature was overshadowed by their downtrend, it is that he really values the moves of big institutional players and their interest.

THE 4 STAGE CYCLE:

- 1. Stage 1—Neglect phase: consolidation
- 2. Stage 2—Advancing phase: accumulation
- 3. Stage 3—Topping phase: distribution
- 4. Stage 4—Declining phase: capitulation

Stage 1: This is when everything is just normal, nothing special or speculatively interesting is happening, It can last a long time but what is important is to understand that this is very much regime driven and not a stage to buy shares in. We buy only when we see momentum(This is a hard rule).

- Characteristics:
 - During Stage 1, price moves sideways with no sustained upward or downward trend.
 - Price oscillates around the 200-day (40-week) moving average and lacks a clear directional bias.
 - This basing phase often follows an extended Stage 4 decline and may last months or years.
 - Trading volume typically contracts and remains lower than during the prior Stage 4 decline.
- Transition Phase : We see a strong demand for the stock, we also see that it is 20-30% above the 200 day Moving Average. We also see that Volume surges with Rallies and lighter volume on pullbacks.
 - 1. The stock price is above both the 150-day and the 200-day moving average.
 - 2. The 150-day moving average is above the 200-day.
 - 3. The 200-day moving average has turned up.
 - 4. A series of higher highs and higher lows has occurred.
 - 5. Large up weeks on volume spikes are contrasted by low-volume pullbacks.
 - 6. There are more up weeks on volume than down weeks on volume.

Stage 2:
This can be often a surprise and brought forth by factors which cannot be conventionally quantified, New CEO or New regulations, Acquisitions and what not. Regardless being on the lookout in the news will definitely help more.

- Characteristics:
 - The stock price is above its 200-day (40-week) moving average.
 - The 200-day moving average itself is in an uptrend.
 - The 150-day (30-week) moving average is above the 200-day (40-week) moving average.
 - The stock price is in a clear uptrend, defined by higher highs and higher lows in a staircase pattern.
 - Short-term moving averages are above long-term moving averages (e.g., the 50-day moving average is above the 150-day moving average).
 - Volume spikes on big up days and big up weeks are contrasted by volume contractions during normal price pullbacks.
 - There are more up days and up weeks on above-average volume than down days and down weeks on above-average volume.

Stage 3:
The long trade in the stock has become crowded and too obvious. This distribution phase exhibits a topping pattern. Volatility increases markedly, and the stock becomes visibly more erratic relative to its previous stage 2 trading pattern.

- Characteristics:
 - Volatility increases, with wider and more erratic price swings despite a generally upward appearance.
 - A major price break typically occurs on sharply increased volume, often the largest daily or weekly decline since the Stage 2 advance began.
 - Price frequently undercuts and oscillates around the 200-day (40-week) moving average during the topping process.
 - The 200-day moving average loses upward momentum, flattens, and eventually turns downward.

Stage 4:
We can speculate again what brings forth the downfall, A missed earnings or bad investments or just not being able to keep up with demand or more competition. This is similarly not an object quantitatively measurable and news might be a source here but predicting this is not entirely possible.

- The vast majority of the price action is below the 200-day (40-week) moving average.
- The 200-day moving average, which was flat or turning downward in stage 3, is now in a definite downtrend.
- The stock price is near or hitting 52-week new lows The stock price pattern is characterized as a series of lower lows and lower highs, stair-stepping downward.
- Short-term moving averages are below long-term moving averages.
- Volume spikes on big down days and big down weeks are contrasted by low-volume rallies
- There are more down days and weeks on above-average volume than up days and up weeks on above-average volume

The Trend Template:

1. The current stock price is above both the 150-day (30-week) and the 200-day (40-week) moving average price lines.
2. The 150-day moving average is above the 200-day moving average.
3. The 200-day moving average line is trending up for at least 1 month (preferably 4–5 months minimum in most cases).
4. The 50-day (10-week) moving average is above both the 150-day and 200-day moving averages.
5. The current stock price is trading above the 50-day moving average.
6. The current stock price is at least 30 percent above its 52-week low. (Many of the best selections will be 100 percent, 300 percent, or greater above their 52-week low before they emerge from a solid consolidation period and mount a large scale advance.)
7. The current stock price is within at least 25 percent of its 52-week high (the closer to a new high the better).
8. The relative strength ranking (as reported in Investor's Business Daily) is no less than 70, and preferably in the 80s or 90s, which will generally be the case with the better selections.